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Research Briefing | Germany

Draft budget envisages sharp fiscal tightening in 2022

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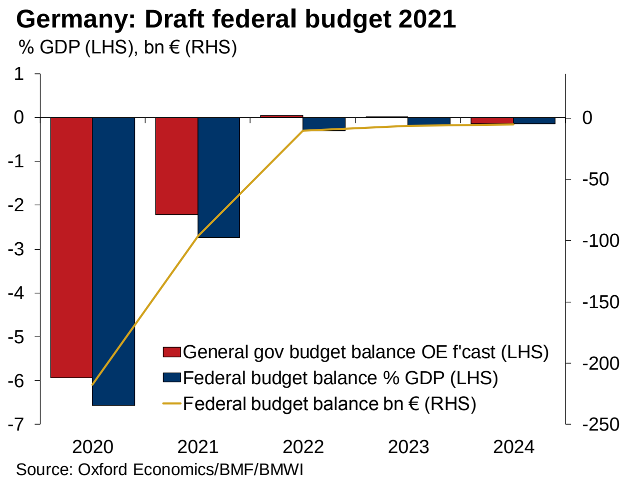
- **Germany's draft budget for 2021 shows that the government intends to keep the fiscal stance highly accommodative next year to prop up the early stages of the recovery. But a sharp fiscal tightening looms in 2022 as the suspension of the debt brake ends. This is broadly in line with our forecast, but a weaker-than-expected recovery or second wave of infections could easily derail the plans.**
- **The government plans to shrink the federal deficit to 2.7% GDP in 2021 after 6.6% this year with a return to roughly balanced budgets by 2022. While we think that Germany will enjoy one of Europe's fastest recoveries, there is a risk that the tightening is too strong against a weak global backdrop. A subpar rebound in Germany would also pose downside risks for the rest of European economies, which in many cases won't enjoy the same level of fiscal support.**
- **With a federal election due in autumn next year, the fiscal plans are not cast in stone, and given still comparatively low debt levels, the government is more likely to add another dose of easing than not. Moreover, fiscal reserves and leakage into subsequent years is likely to smooth the tightening. Yet, the plans also show that despite its recent fiscal activism, Germany is still a fiscal hawk.**

Today the German government adopted its draft budget for 2021 and its medium-term fiscal plans until 2024 making it one of the first among the major European countries. These plans are eagerly awaited as allow us to fine-tune our fiscal forecasts and to gauge the fiscal support that governments intend to offer to sustain the current economic recovery. This will likely also be a key input into the ECB's considerations as it discusses the amount of additional monetary stimulus that is required to let inflation converge to target over the medium-term. On that note, Germany's fiscal plans make for a cautious reading as the recent fiscal activism looks to turn into hawkishness as early as 2022.

Figure 1: Fiscal plans show swift return to balanced budgets



The German government's draft budget and medium-term fiscal plans foresee a swift narrowing of this year's record federal deficit of €218bn or 6.6% of GDP in the coming years. By 2022 the deficit is seen at only about €10bn or 0.3% of GDP.

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There weren't any major surprises in today's release of Germany's draft budget for 2021. The key numbers have been leaked to the press over recent weeks and much of the fiscal plans had already been agreed in June's fiscal deal, which was meant to jump-start the recovery.

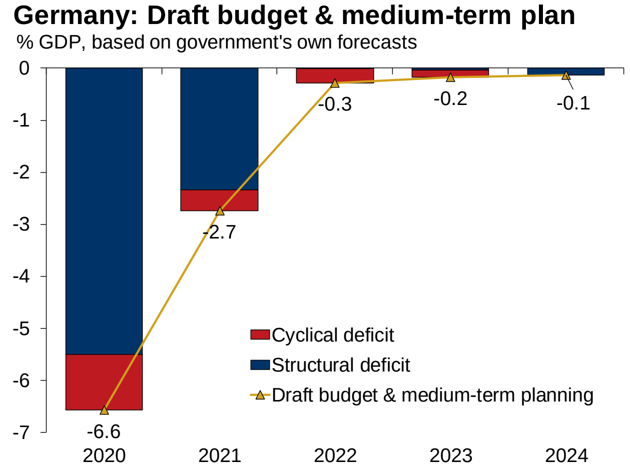
The government intends to keep its fiscal stance very accommodative in 2021. While the federal deficit is seen shrinking sharply from 6.6% of GDP this year to under 3% in 2021, this would still keep the structural deficit at over 2% of GDP after sustaining a structural surplus for most of the last decade (**Figure 2**). Moreover, these numbers are likely to overstate the underlying tightening. For instance, it is very likely that some of the expenditure budgeted in 2020 will leak into 2021 judging by Germany's recent failure to fully implement its investment plans. We also doubt that all of the fiscal support will be taken up by firms and households this year. In combination with our slightly more optimistic growth forecasts (in total about 1pp in 2020-21), we think the near-term recovery prospects remain positive.

The outlook for 2022 is challenging. The government intends to narrow the deficit to only 0.3% of GDP making the fiscal stance neutral again. Some of the same qualifiers as in 2021 apply. In addition, there will be ample funds in off-budget vehicles to finance several initiatives to green and digitize the economy, which reduces the effective tightening. But with global GDP still seen about 3% below our pre-crisis forecasts by that time, such a severe tightening of the fiscal stance risks derailing the domestic recovery.

This reconfirms our view that Germany's recent fiscal activism shouldn't be seen as an about-face. There is little political will to suspend the constitutional debt brake for another year beyond 2021 or to abolish it. This is especially true given the looming federal election next year. Hence, structural budget deficits will be limited to less than 0.35% of GDP (**Figure 3**) except in extraordinary circumstances.

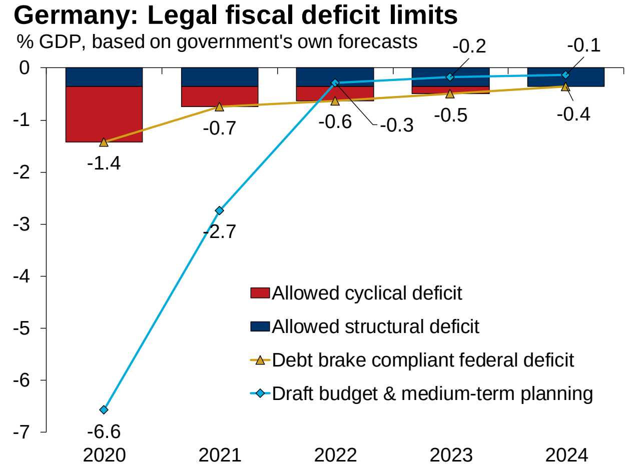
All told, we see little reason to adjust our assessment, that Germany is among the best-placed countries in Europe to recover in the near-term thanks to its loose fiscal policy and a comparatively less severe recession. **But the government's intention to balance its budget by 2022 to comply with national fiscal rules also reinforce our worries about Europe's medium-term recovery. If other governments follow suite as is likely, the ECB will likely find further contentious extensions of its QE programmes to be unavoidable.**

Figure 2: Budget plans foresee sharp tightening of fiscal stance in 2021 and 2022



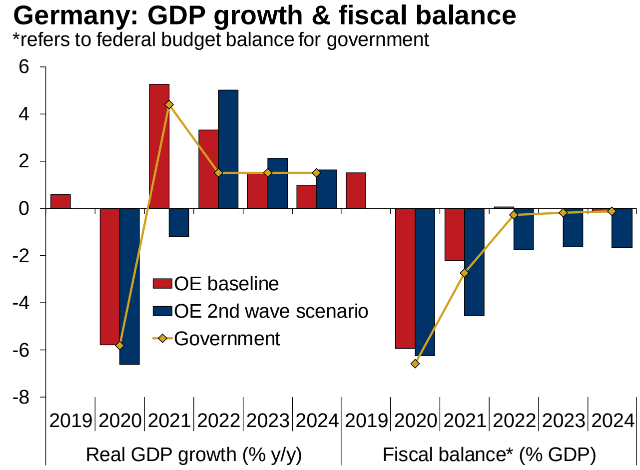
Source: Oxford Economics/BMWI/BMF

Figure 3: Government intends to comply with constitutional debt brake rules again in 2022



Source: Oxford Economics/BMWI

Figure 3: Second wave of infections would invalidate any fiscal plan



Source: Oxford Economics/Haver Analytics/BMWI/BMF